Sahara and Sahel Observatory

Green Climate Fund

Key principles for effective organizational oversight

MODULE 4 : GOVERNANCE, INTERNAL CONTROLS, INTEGRITY & RISK MANAGEMENT

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OPENING AND CONTEXT

PURPOSE

Governance as a Fiduciary Foundation
Understand governance and integrity as essential pillars for the ethical and effective management of international public funds.

Governance in Institutional Practice
Recognize how governance shapes day-to-day operations, accountability, decision-making, and stakeholder trust across the institution.

Understanding the Interdependence of Controls
Explore how internal controls, integrity mechanisms, and risk management systems work together to meet fiduciary standards.

Strengthening Accreditation Readiness
Build understanding of governance-related accreditation requirements and institutional practices that enhance credibility and fiduciary capacity.

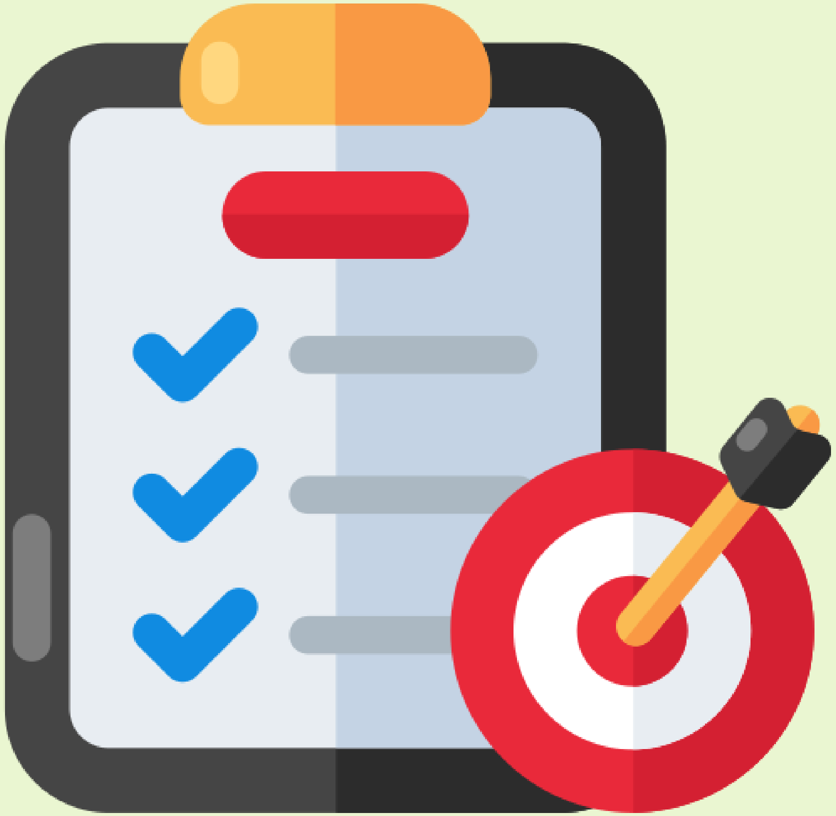
SCOPE

Session Focus Areas

The module covers governance, internal controls, integrity, and risk management based on GCF fiduciary standards.

Practical Evidence Approach

The training defines session boundaries and links governance to overall institutional capacity within fiduciary framework.



OBJECTIVES

Identifying Governance and Integrity Gaps

Recognize common weaknesses that may affect fiduciary compliance, institutional credibility, and accreditation outcomes.

Applying Governance Self-Assessment Tools

Use practical checklists and evidence-based approaches to evaluate governance systems against accreditation expectations.

WHAT IS GOVERNANCE IN GCF ACCREDITATION?

Governance refers to the leadership, oversight, and accountability arrangements that guide institutional decision-making and ensure the transparent, ethical, and effective management of GCF-funded activities.

WHY GOVERNANCE MATTERS TO THE GCF

Governance Ensures Oversight

Strong governance frameworks create clear oversight, accountability, and ethical conduct to protect GCF resources.

Transparency in Decision-Making

Transparency enables stakeholders to understand decision processes and manage conflicts effectively.

Governance as Accreditation Requirement

Governance is mandatory for accreditation; weak governance leads to high fiduciary risk classification.

Protecting Reputation and Access

Good governance safeguards an entity’s reputation, leadership, and long-term access to climate finance.

GOVERNANCE AS THE FOUNDATION OF FIDUCIARY STANDARDS

Governance as Operating System

Governance functions as the operating system enabling financial, procurement, and audit activities to work effectively.

Importance of Clear Structures

Clear governance structures prevent failures caused by unclear authority, weak oversight, or ethical lapses.

Role in Policy and Accountability

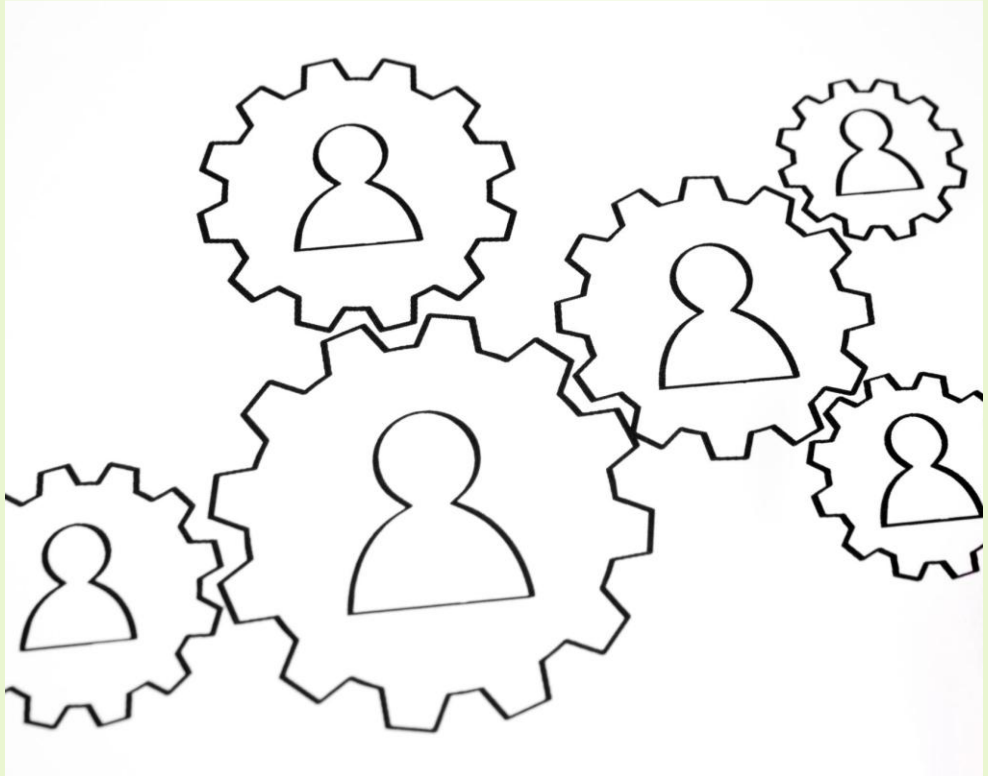
Governance determines policy approvals, risk escalation, and enforcement of accountability.

Foundation for Fiduciary Readiness

Strong governance is essential for accreditation readiness and effective fiduciary management.

GCF GOVERNANCE REQUIREMENTS

SIX KEY GOVERNANCE AREAS ASSESSED BY GCF



Clear Governing Body
Provides strategic direction, oversight, and accountability.

Delegation of Authority
Defines decision-making responsibilities and authorities.

Segregation of Duties
Separates key responsibilities to reduce the risk of error and fraud.

Risk Management System
Identifies, assesses, and manages organizational risks.

Integrity Policies
Promote ethical conduct and compliance with applicable requirements.

AML/CFT Measures
Prevent financial crime and support compliance with international standards.

CLEAR AND EFFECTIVE GOVERNING BODY

Establishment and Documentation

A governing body must be formally established with clearly defined roles and documented responsibilities.

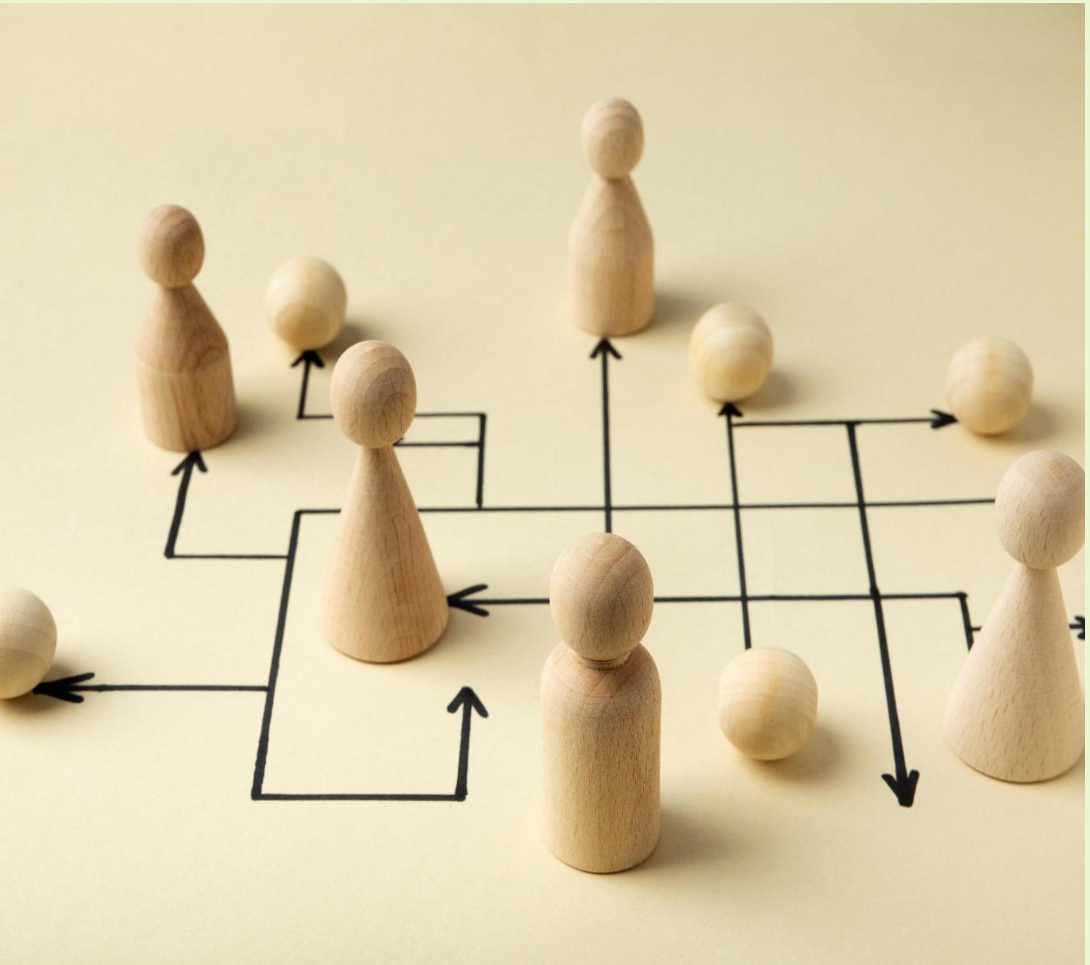
Regular Meetings and Records

Regular meetings with documented and approved minutes demonstrate active oversight and decision-making.

Strategic Direction and Oversight

The governing body approves key policies and oversees management performance to ensure institutional credibility.

DELEGATION OF AUTHORITY FRAMEWORK



Documented Delegation Matrix

A formal delegation matrix defines approval limits for procurement, payments, and contracts to reduce ambiguity.

Formal Approval and Communication

The matrix must be approved, regularly updated, and communicated clearly to all relevant staff for compliance.

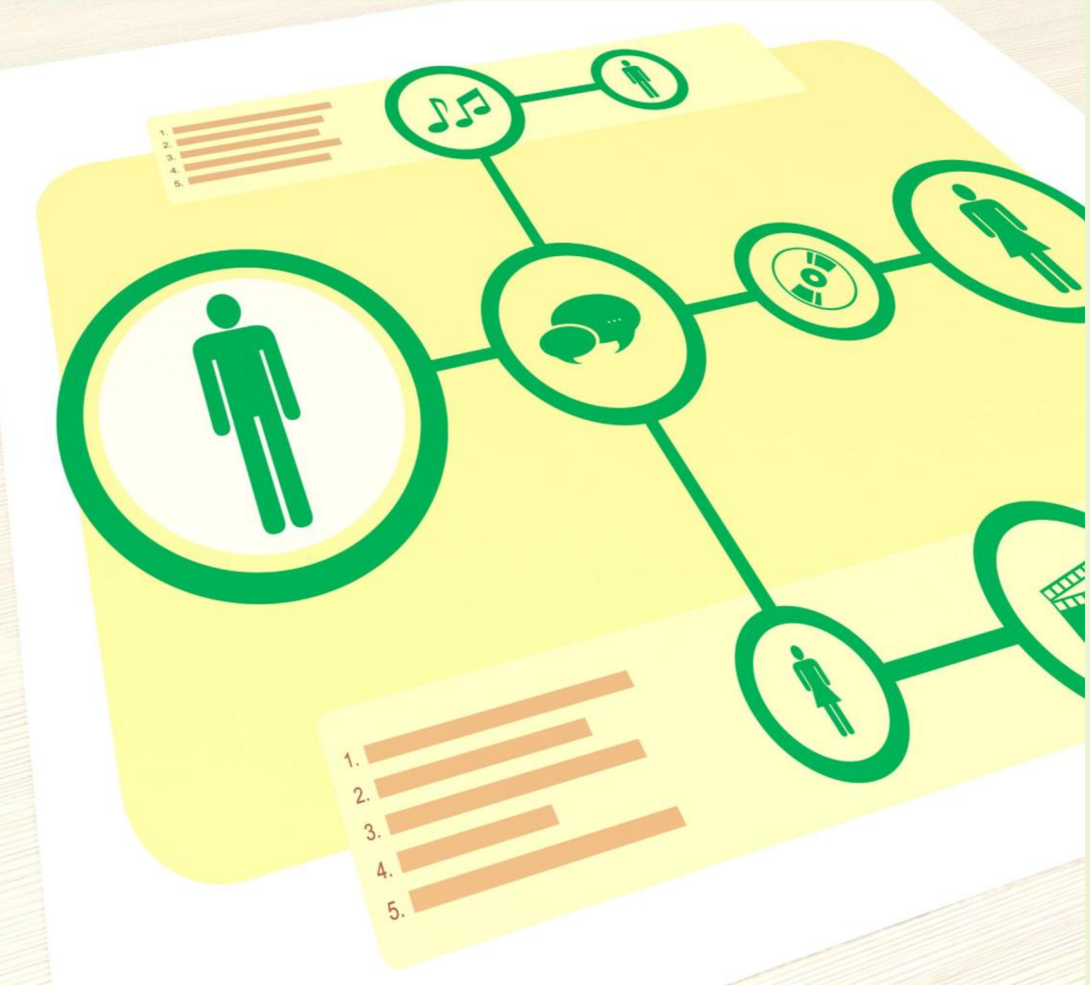
Risk of Undocumented Delegations

Undocumented or verbal delegations are high-risk and often flagged in reviews, risking unauthorized decisions.

Implementation and Accountability

Effective application of the matrix ensures accountability, prevents errors, and supports fiduciary control.

SEGREGATION OF DUTIES AND COMPENSATING CONTROLS



Principle of Segregation

Segregation of duties prevents fraud by ensuring no single person controls all transaction stages.

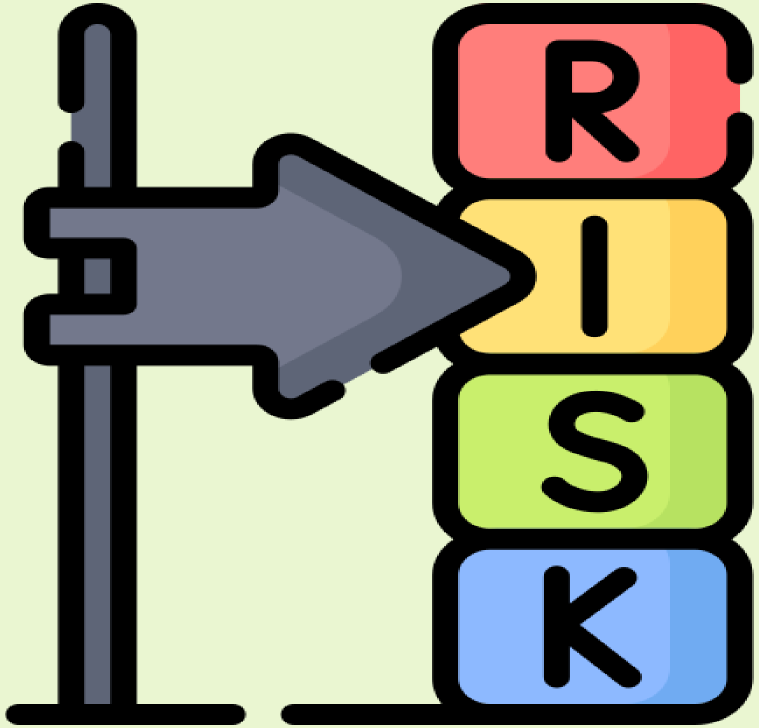
Compensating Controls

When segregation is limited, compensating controls like supervisory reviews and dual signatories reduce risk.

Documentation and Monitoring

Segregation of duties must be documented, implemented, and continuously monitored to ensure effectiveness.

RISK MANAGEMENT SYSTEM REQUIREMENTS



Risk Register Importance

A risk register identifies key operational, financial, fiduciary, and integrity risks and is central to the system.

Regular Review and Ownership

The risk register must be updated annually and reviewed quarterly with each risk assigned to a specific owner.

Escalation Procedures

Escalation procedures ensure emerging or high-level risks are reported to senior management and the governing body.

Active Risk Management

Effective risk management is an active process that informs decision-making and demonstrates institutional maturity.

INTEGRITY POLICIES AND AML/CFT CONTROLS

Core Integrity Policies

Integrity policies include a code of ethics, conflict of interest, whistleblower's protection, and anti-corruption measures to promote ethical behavior.

AML/CFT Controls

AML/CFT controls involve customer due diligence, transaction monitoring, and reporting to prevent financial crimes and money laundering.

Proportional and Effective Policies

Policies define universal principles of integrity and governance. Their implementation—through procedures, controls, and systems—should be proportionate to the entity's size, complexity, and risk profile.

Building Trust with Stakeholders

Robust integrity and AML/CFT controls demonstrate zero tolerance for misconduct and reinforce trust with donors and stakeholders.

SELF-ASSESSMENT AND GAP ANALYSIS

GOVERNANCE SELF-ASSESSMENT CHECKLIST - PART 1

Foundational Governance Documents

Entities must confirm the presence of written statutes or founding documents outlining governance structures.

Governing Body Meetings

A governing body should exist and meet at least annually to ensure proper oversight and decision-making.

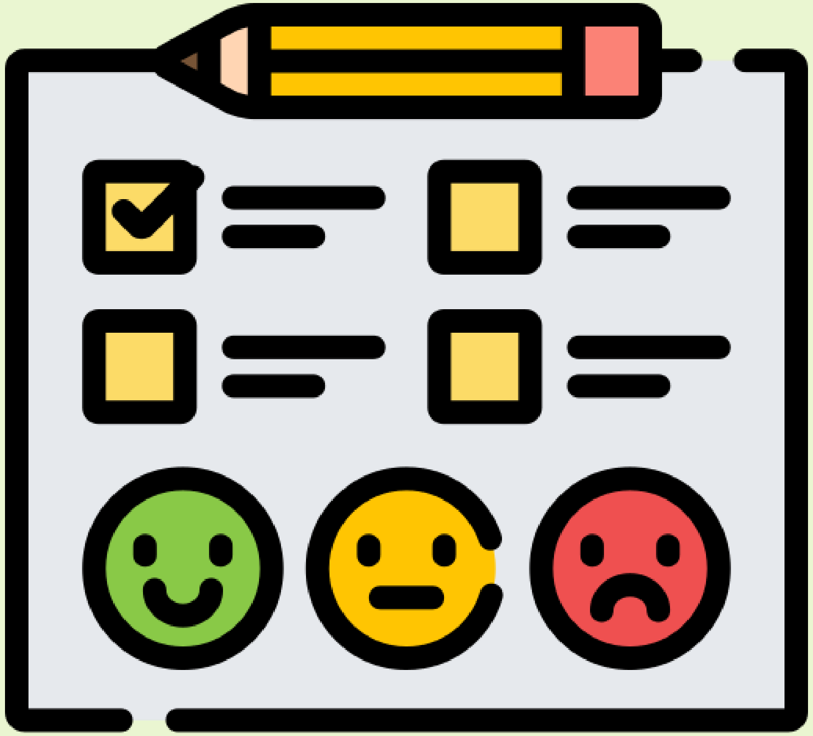
Delegation of Authority

Documented delegation of authority clarifies roles and responsibilities within the governance structure.

Code of Ethics Adoption

Adoption of a code of ethics or conduct reinforces integrity and accountability in governance.

GOVERNANCE SELF-ASSESSMENT CHECKLIST - PART 2



Conflict of Interest Policy

Entities must have a conflict of interest policy with annual declarations to ensure transparency and accountability.

Whistleblowing Mechanism

A whistleblowing or complaints mechanism for staff is essential to report unethical behavior confidentially and safely.

Risk Register Maintenance

The risk register should be updated at least annually to identify and manage fiduciary and operational risks effectively.

Anti-Fraud and Anti-Corruption Policy

An operational anti-fraud and anti-corruption policy known to staff reduces risks and strengthens organizational integrity.

COMMON GOVERNANCE GAPS IDENTIFIED BY GCF

Irregular Meetings and Documentation

Governing bodies often meet irregularly or lack documented minutes, causing accountability gaps.

Delegation and Conflict of Interest Issues

Verbal or outdated delegation of authority and missing conflict of interest declarations impede governance.

Weak Whistleblowing and Risk Policies

Whistleblowing mechanisms unknown to staff and outdated risk registers reduce transparency and control.

Unimplemented Anti-Fraud Measures

Anti-fraud policies often exist only on paper and are not effectively enforced or implemented.

ENTITY-SPECIFIC GAP ANALYSIS TEMPLATE

Template Structure

The template organizes governance areas with columns for status, gap description, and priority action.

Key Governance Areas

It covers governing body, delegation, segregation of duties, risk register, ethics, conflicts, whistleblowing, and policies.

Purpose and Benefits

This structured approach helps prioritize actions based on risk and effort, facilitating discussions with support teams.

INTEGRITY, MALPRACTICE AND REMEDIAL MEASURES

UNDERSTANDING MALPRACTICE IN GCF CONTEXT

Defining Malpractice

Integrity violations in the GCF context include prohibited practices, such as fraud, corruption, collusion, coercion, obstruction, and misuse of resources. Failure to report misconduct may constitute a breach of internal policies and ethical obligations.

Examples of Malpractice

Examples include misuse of funds, falsified documents, bribery, retaliation against whistleblower, etc.

Zero-Tolerance Policy

GCF enforces zero-tolerance policy requiring proactive prevention, detection, and response to malpractice.

PREVENTIVE MEASURES AGAINST MALPRACTICE

Clear Integrity Policies

Implementing codes of conduct, anti-fraud rules, and conflict of interest policies is essential to reduce malpractice risks.

Staff Training and Awareness

Regular staff training ensures understanding and awareness of integrity policies and malpractice prevention.

Transparent Processes

Transparent recruitment and procurement reduce favoritism and corruption opportunities.

Whistleblowing Mechanisms

Protected whistleblowing channels encourage early reporting and help manage integrity risks effectively.

DETECTIVE MEASURES FOR IDENTIFYING MALPRACTICE

Internal Audits and Spot Checks

Internal audits and spot checks provide independent assurance to detect malpractice effectively within institutions.

Management Reviews of High-Risk Transactions

Management reviews high-risk transactions to add an extra layer of control and mitigate potential malpractice risks.

Whistleblowing Complaint Review

A structured process reviews whistleblowing complaints consistently and fairly to address concerns of malpractice.

Reconciliations and Approvals Verification

Regular reconciliations and verification of approvals detect anomalies and unauthorized actions in transactions.

CORRECTIVE MEASURES AND REMEDIATION

Immediate Suspension

Suspected staff should be immediately suspended to protect evidence and minimize further risks during investigations.

Independent Investigations

Investigations must be independent, conducted internally with safeguards or externally when necessary to ensure fairness.

Disciplinary Actions

Disciplinary measures range from dismissal to referral to authorities based on the severity of the malpractice.

Policy Strengthening

Strengthening policies and controls is essential to prevent recurrence and demonstrate organizational accountability.

REQUIRED STRUCTURES FOR INTEGRITY MANAGEMENT

Integrity Focal Point

Entities must designate a focal point for integrity or compliance, even on a part-time basis.

Anonymous Whistleblowing

A whistleblowing mechanism with anonymous option encourages reporting of integrity concerns safely.

Clear Investigation Procedures

Defined investigation roles and timelines ensure transparent and accountable integrity issue handling.

Independent Reporting Lines

Reporting lines must reach the governing body to ensure independence from management influence.

COMMON INTEGRITY QUESTIONS FROM GCF REVIEWERS

Staff Training on Conduct

Reviewers inquire how staff are trained on the code of conduct to ensure ethical behavior in organizations.

Conflict of Interest Review

Questions focus on the collection, review, and management of conflict of interest declarations to maintain integrity.

Whistleblowing Handling

Reviewers ask about systems for handling, tracking, and resolving whistleblowing complaints effectively.

Fraud Detection and Investigation

Inquiry includes whether fraud has been detected, addressed, and who conducts investigations of integrity complaints.

COMMON AUDIT FINDINGS RELATED TO GOVERNANCE

Missing Governing Body Minutes

Audit often finds absent or incomplete minutes from governing body meetings, affecting governance transparency.

Delegation of Authority Issues

Undocumented or disregarded delegation of authority leads to unclear responsibilities and governance gaps.

Conflict of Interest Declarations

Incomplete or missing conflict of interest declarations reduce governance integrity and increase risks.

Whistleblowing and Risk Registers

Ineffective whistleblowing mechanisms and outdated risk registers hinder governance accountability and risk management.

ROADMAP AND KEY TAKEAWAYS

PATHWAY TO STRENGTHENING GOVERNANCE

Short-Term Actions

Assess governance gaps and adopt missing policies. Establish a risk register promptly.

Medium-Term Actions

Implement staff training, whistleblowing mechanisms, and conduct the first integrity review.

Long-Term Actions

Perform independent governance audits, drive continuous improvement, and update policies annually.

KEY TAKEAWAYS ON GOVERNANCE AND INTEGRITY

Governance as Foundation

Governance underpins all fiduciary standards and must be considered essential and non-optional.

Policy Requirements

GCF mandates documented and implemented policies supported by clear evidence for credibility.

Integrity Mechanisms

Mechanisms like whistleblowing, anti-fraud, and conflict of interest management are essential and non-negotiable.

Self-Assessment & Improvement

Self-assessment and gap analysis promote readiness and continuous improvement for accreditation success.

THANK YOU

Next Module

The next training stage will cover procurement requirements.

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